

Precautionary Saving in Europe: A Descriptive Overview

Structural vs Cyclical, the Map, Spending, and What Households Hold

Project documentation — descriptive extension

June 30, 2026

Abstract

Before testing *why* the euro-area household saving rate is high, this note sets the scene *descriptively*, as the supervisors asked. Four pictures: (1) is the elevated rate a new *structural* norm or a *cyclical* bump? (4) a map of how saving rates vary across Europe; (5) how spending rotated from goods to services; and (6) what households actually hold, and how the risk mix has evolved. Headlines: the saving-rate *trend* has stepped up about 2.6 pp (12.5% → 15.1%, with the COVID forced-saving quarters excluded from the filter) and the cycle is now near zero, so the persistence is mostly structural; the North–South map (Germany ~20% vs the South ~11–13%, Greece dissaving) is long-standing, not new; real services consumption rebounded above its 2019 level while goods flattened, reconciling high saving with strong services; and the risky (equity & funds) share of household wealth rose about +8 pp over the decade (29% → 37%) even as deposits held near 31%. All figures use free data (Eurostat + GISCO; no FRED) from a live run on June 30, 2026 and should be regenerated before citation. It covers all six descriptive ideas: structural-vs-cyclical, the map, goods-vs-services, the asset mix, demographics & pensions, and the US discrepancy.

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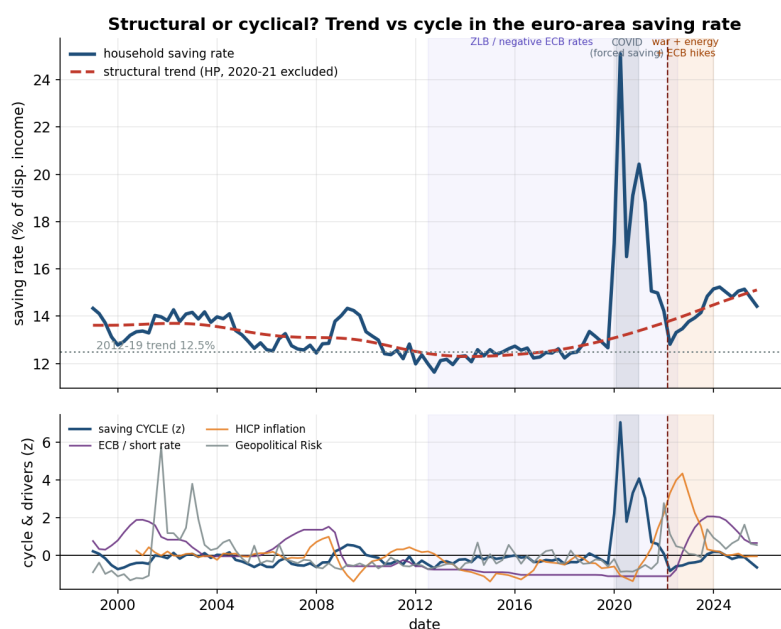
1 Why descriptive, and what these pictures show

The companion `../extension_feedback/` folder asks *why* the saving rate is high (a precautionary, liquidity-tiered reading). The supervisors asked to step back first and describe the

phenomenon. This note does that with six self-contained charts, each a standalone script reusing the project helpers and the house style (shaded COVID / energy-hiking bands, a dashed Feb-2022 line, direct annotations, an italic footnote). It motivates, rather than tests, the hypothesis work.

2 Structural or cyclical?

Is the elevated rate a new *norm* or a *cycle* that should revert? A Hodrick–Prescott filter ($\lambda = 1600$) splits the saving rate into a slow trend (structural) and a cycle (Figure 1). Because the 2020–21 COVID spike was *forced* saving — households simply could not spend, not a behavioural change — those quarters are **excluded from the filter** (interpolated) so they do not distort the trend; the cycle is then the real deviation from that de-COVID trend, so the spike shows up (correctly) as a large positive *cycle*. On that basis the structural trend **steps up about 2.6 pp**, from 12.5% (2012–19) to 15.1% today, while the latest cycle is essentially *zero*. So the persistence is now **mostly structural**: a higher norm, consistent with saving more for old age as pension promises weaken, rather than a transient bump.



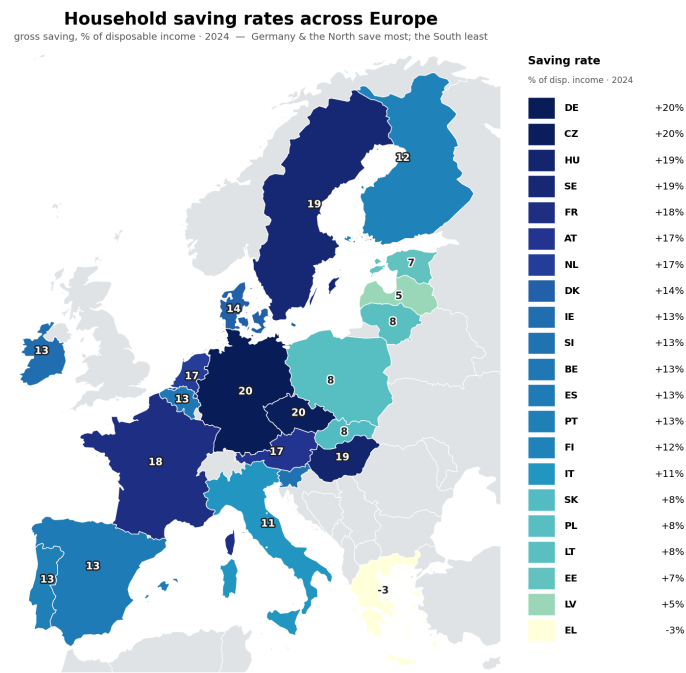
HP filter ($\lambda=1600$) with the 2020-21 COVID forced-saving quarters EXCLUDED (interpolated), so the trend reflects behaviour, not the lockdown spike -- which instead appears as the large positive cycle in the lower panel.

Figure 1: The euro-area saving rate split into a structural trend (HP, $\lambda = 1600$, with the 2020–21 COVID quarters excluded from the filter) and a cyclical component; the lower panel shows the cycle against cyclical drivers (ECB rate, inflation, GPR), z-scored.

3 The European map

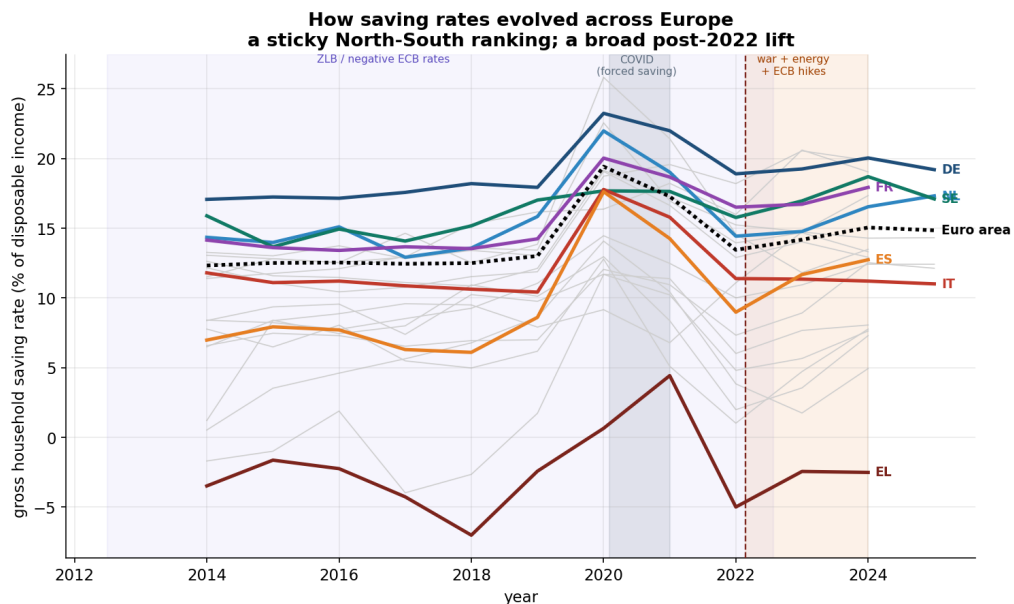
Where is saving high? A choropleth of the gross household saving rate by country (Figure 2): **Germany** ~20% and **France** ~18%, the Nordics high; **Italy** ~11%, **Spain** ~13%, and **Greece** **dissaving**. The North–South gap is *structural and long-standing* — it predates the energy shock — so a raw "who saves most" map mostly reflects habits, not the recent crisis.

The time dimension confirms the pattern (Figure 3): the country ranking is sticky — the North has saved roughly 8–12 pp more than the South for two decades — and the post-2022 lift raised most countries together rather than re-ordering them.



Eurostat gross household saving rate (tec00131). 2024 is the latest year with full country coverage – 2025 annual data is still incomplete (only – 7 of 21 countries). GISCO boundaries; the North-South gap is structural, predating the shock.

Figure 2: Gross household saving rate by country, 2024 — the latest year with full coverage (2025 is still incomplete); Eurostat TEC00131 with GISCO boundaries. North dark, South light; a ranked list gives every value.



Eurostat tec00131. Grey = all 21 countries; coloured = highlighted North (cool) vs South (warm) economies and the euro-area average. Ranking is persistent.

Figure 3: Household saving rates over time: all 21 countries (grey), with highlighted North (cool) and South (warm) economies and the euro-area average (black dotted); Eurostat TEC00131.

4 Spending: goods vs services

If saving is so high, how has services spending stayed so strong? It is not a paradox once goods and services are split (Figure 4). A high saving rate just means households spend a smaller *share* of income; *within* that spending the mix rotated. In the 2020 lockdowns **goods** boomed (durables, electronics) while **services** collapsed; after reopening **services rebounded** strongly (to ~107, 2019=100) while **goods demand faded** (~103). So "elevated services spending" is the post-COVID services recovery (plus high services inflation), not a consumer boom — and the goods weakness is part of why *overall* consumption, and hence the saving rate, stayed high. Strong services and high saving are reconciled by **weak goods**, not in tension.

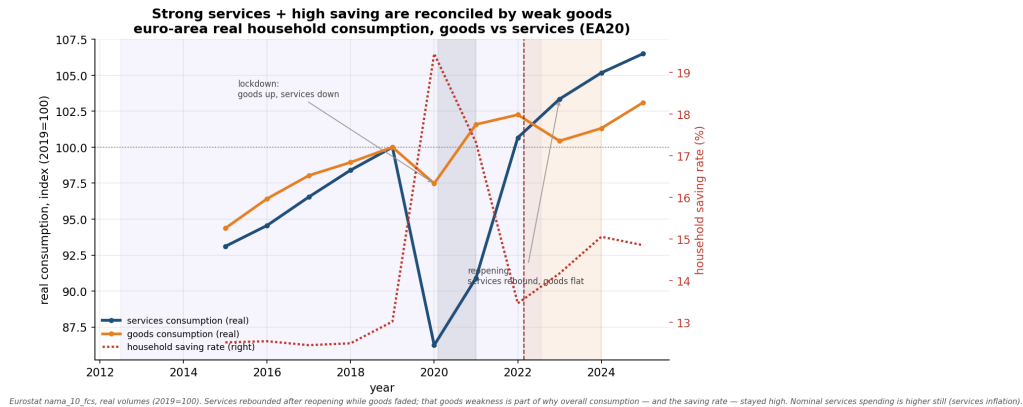


Figure 4: Real household consumption of goods vs services (2019=100, recent years) against the saving rate; Eurostat NAMA_10_FCS.

5 What households save in, and how it evolved

This is the *same* household balance sheet as the liquidity ladder, cut by *risk* rather than liquidity (Figure 5). The **risky share (equity & investment-fund shares, F5) rose about +8 pp over the decade, 29% → 37%**, while **non-risky deposits (F2) held near 31%**. Equity & funds **overtook deposits around 2021** and are now the largest single instrument, though deposits and insurance/pension claims (non-risky) still dominate combined. So the non-risky base is still large, but **equity involvement has clearly grown** — more euro-area households now carry market exposure. The cross-country snapshot (Figure 6) shows the risky share is higher in the core/North and lower in the South.

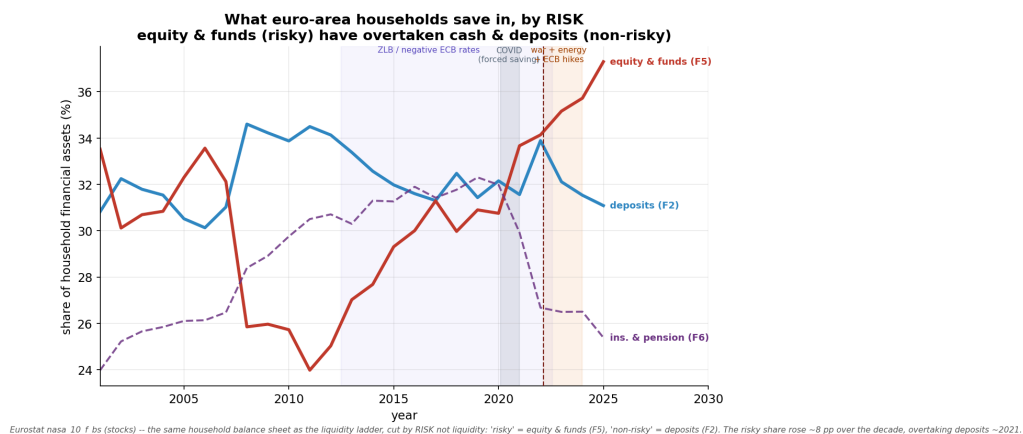


Figure 5: Household financial assets by RISK over time: non-risky deposits (F2), risky equity & funds (F5), and insurance & pensions; Eurostat NASA_10_F_BS. Risky overtook non-risky around 2021.

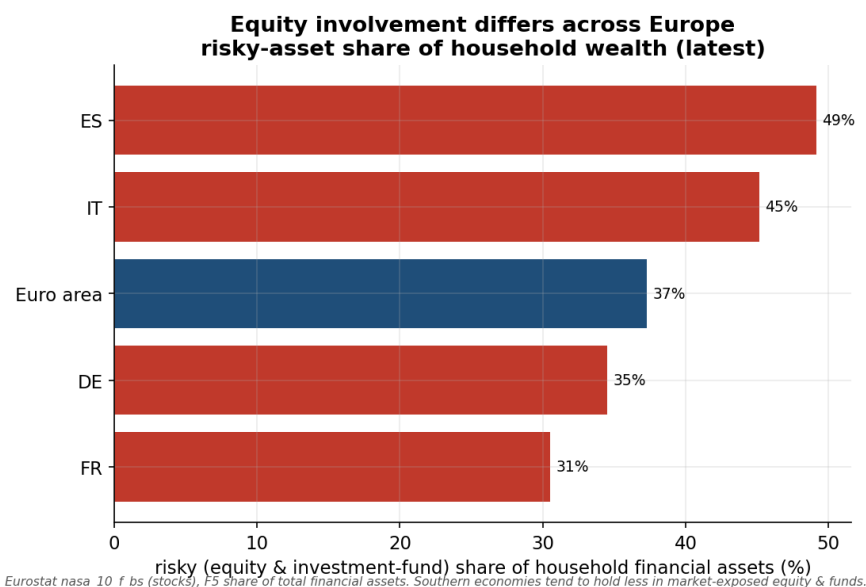


Figure 6: Risky (equity & investment-fund) share of household financial assets, by country (latest).

6 Demographics and pensions

Do aging and pension design move household saving? Two cross-country scatters (Figure 7). (a) The old-age dependency ratio is, if anything, *weakly negatively* related to the saving rate ($r \approx -0.14$): older Southern economies save *less*, not more, so aging does not mechanically lift saving. (b) A funded-pension proxy — the insurance & pension share of household assets (F6), high where households actually *hold* pension assets and low under pay-as-you-go state promises — is *weakly positively* related to saving ($r \approx +0.34$): big funded systems (Netherlands, Denmark) coexist with solid saving, not low saving. So "good pensions $\Rightarrow$ less private saving" is not clear in the cross-section — pensions shape *where* wealth sits (funded systems hold more in F6/F5) more than *how much* is saved.

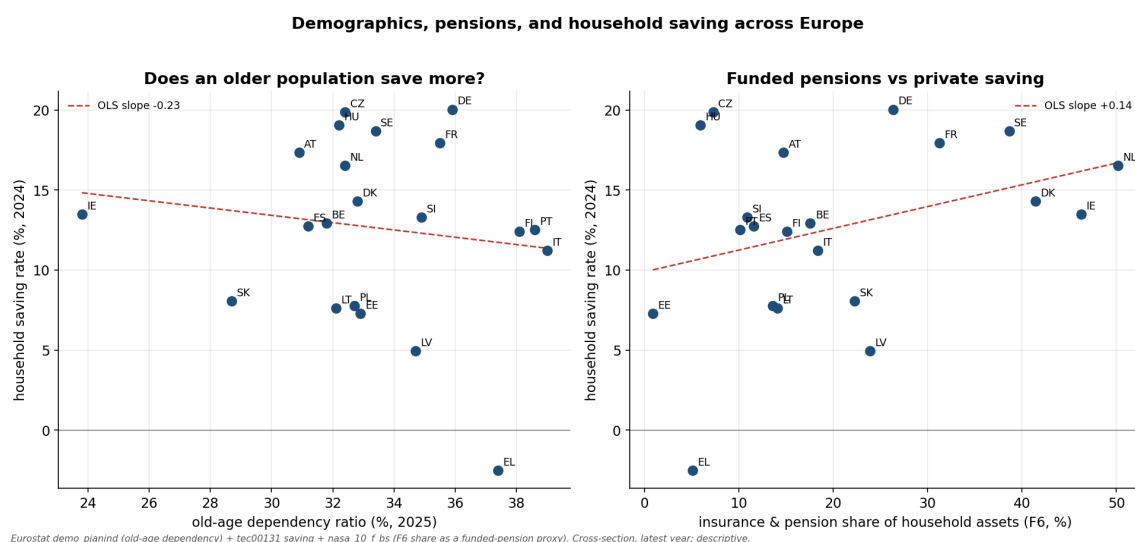


Figure 7: Cross-country: old-age dependency vs the saving rate (left) and the funded-pension proxy (F6 share) vs the saving rate (right), latest year; Eurostat DEMO_PJANIND, TEC00131, NASA_10_F_BS.

7 Why Europeans look like cautious savers

The clearest US–Europe difference is not how *much* households save but *how* they hold it (Figure 8). US households hold about 57% of their financial wealth in equity & investment funds versus ~37% in the euro area — roughly 1.5× — with the mirror image in deposits (US ~11% vs euro area ~31%). The gap is large and *persistent* across the last two decades. The institutional history behind it: the US built a funded, equity-heavy private-pension system (401(k)/IRA) and an equity-investing culture, while much of continental Europe leaned on *pay-as-you-go state pensions* and a bank-deposit culture. European households therefore carry less market risk and look more "cautious" — a structural, pension-rooted difference, not merely preferences.

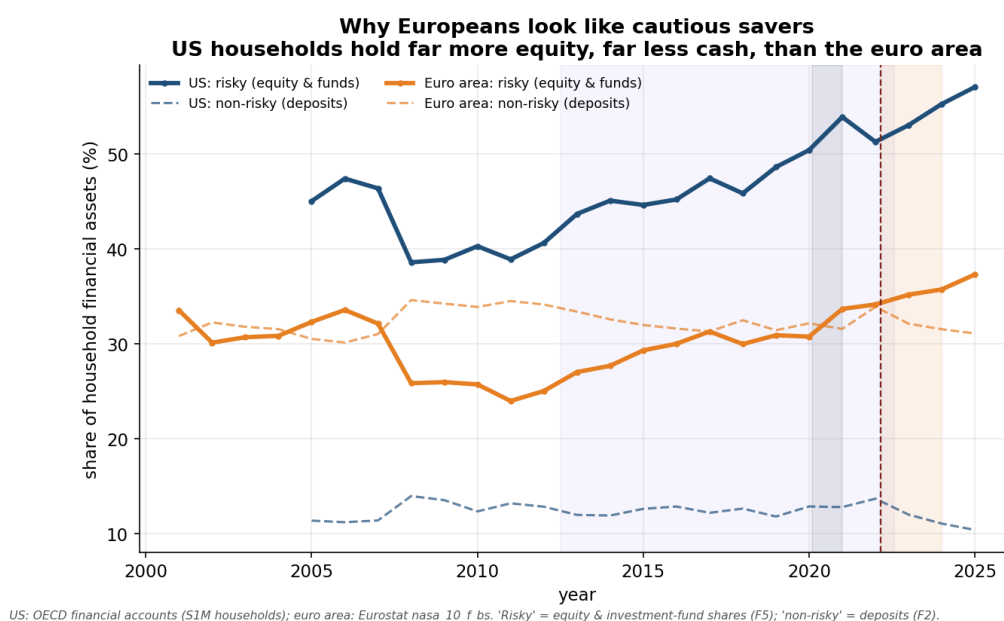


Figure 8: Risky (equity & funds, F5) and non-risky (deposits, F2) shares of household financial assets, US vs euro area, over time. US: OECD financial accounts; euro area: Eurostat NASA_10_F_BS.

8 Synthesis

1. The elevated saving rate is now a **higher structural norm**, not a passing cycle (§2).
2. It sits on a **structural North–South map** that long predates the shock (§3).
3. High saving coexists with **strong services** via a goods→services rotation (§4).
4. Households still hold a large **non-risky** base, but **equity involvement has grown** markedly over the decade (§5).
5. **Aging and pension design** move household saving only weakly in the cross-section; pensions shape *where* wealth sits more than how much is saved (§6).
6. Versus the US, euro-area households are not low savers so much as **cautious holders** — far less equity, far more cash — a structural, pension-rooted difference (§7).

These descriptive facts motivate the hypothesis work in `../extension_feedback/`: a precautionary, liquidity-tiered reading of why the rate is high and where the money sits. All series are pulled live and revised — regenerate before citing.